

12-20% per annum range. So, from a pure wealth-compounding perspective, the math often favours a well-managed AIF,” says Prabhakar Kudva, Director and Principal Officer, Portfolio Management Service at Samvitti Capital.

AIFs provide exclusive access to the most exciting growth stories in India, like the start-up ecosystem and private credit, inaccessible through traditional routes.

This, combined with the disillusionment from stagnant residential property returns and management hassles, makes the shift more compelling.

TAX NUANCES

The tax efficiency advantages are equally compelling. “While second homes face capital gains complications, stamp duty burdens, and maintenance cost non-deductibility, AIFs offer pass-through taxation benefits and professional management fee deductibility,” says Kanchan of Anand Rathi.

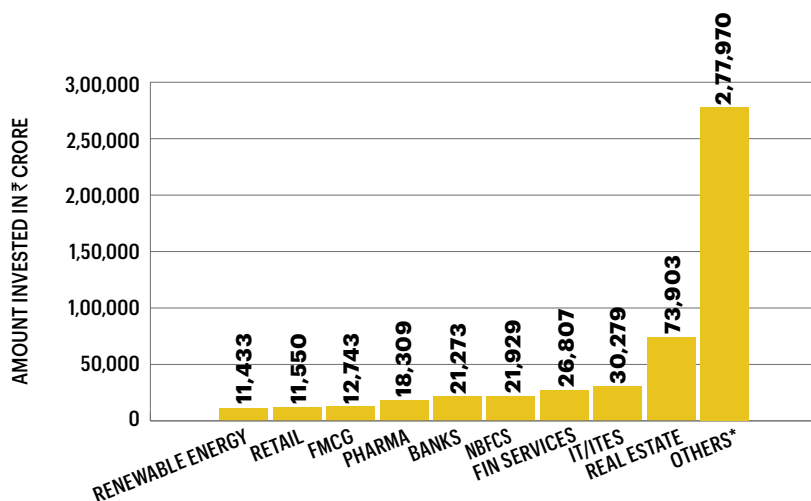
The tax landscape being quite nuanced, the best choice depends on an investor’s goal. For a second home, the tax structure is familiar: rental income gets added to your personal income and is taxed at your slab rate, while long-term capital gains on sale are taxed at a lower rate with the benefit of indexation, as applicable.

AIFs operate differently. The key advantage, especially for Category III AIFs, is tax simplicity for the investor. The fund pays the taxes at the fund level. For instance, income from derivatives trading is taxed at the highest rate (around 42.7%) within the fund, but the returns you receive as an investor are post-tax and don’t complicate your personal tax filing.

“This is a huge benefit for busy HNIs who are already in the high-

AIFs BACK GROWTH SECTORS

• AIF investments in India touched ₹5.06 lakh crore in first nine months of FY25, with real estate taking the largest share



NOTE OTHERS INCLUDE HEALTHCARE, EDUCATION, PRIVATE EQUITY AND VENTURE CAPITAL, ETC; CUMULATIVE NET INVESTMENT MADE ACROSS SECTORS IN 9M FY25

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“AIF units must be dematerialised, placement memorandums need regular updates, and compliance reports must be submitted to Sebi. These steps enhance governance.”

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est tax bracket. The disadvantage is that the tax rate on certain types of income within the fund can be high, and you lose that direct indexation benefit you get with property,” says Kudva.

BEYOND LOCATION

Diversification becomes critical in

examining second-home investments. A luxury property worth ₹5 crore represents not just a single asset-class exposure, but also geographic concentration, regulatory risk, and liquidity constraints.

“AIFs enable diversification across private equity (capturing India’s entrepreneurial growth), debt